Country Compliance Report:

# Ireland

Information class: Restricted

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# Content

# Introduction and document purpose

Pagero Group builds the world’s largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That’s why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country’s laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

# 1. Terminology

This section outlines general and country-specific terminology for Ireland, which will be used throughout the whole document.

| Term | Explanation |
|---|---|
| **B2B** | Business-to-Business is a transaction or business conducted between one business and another, such as a wholesaler and retailer |
| **B2G** | Business-to-Government refers to the business relationship a company selling products, services or information to governments or government agencies |
| **Peppol network** | Trading parties exchange e-invoices in a predefined format and a predefined method, either directly with each other, or typically, via service providers that may require certain accreditations |
| **Peppol Authority** | The Irish Peppol Authority (OGP) is responsible for the registration of companies that wish to become an Access Point (AP) or a Service Metadata Publisher (SMP) |
| **OGP** | Office of Government Procurement, responsible for assisting the state in sourcing common goods and services for the public sector. The OGP also functions as the Irish Peppol Authority |
| **Post Audit** | The post-audit model allows trading partners to exchange e-documents as well as other transactional fiscal documents (including but not limited to invoices, further called "e-documents") directly with each other, without any real-time or immediate controls performed by the tax office. Even though eDocument is allowed, there are no prescriptions as to in what format, infrastructure, or how they should be issued or distributed. The tax audits are performed afterward |
| **VIES** | The VAT Information Exchange System involves Irish VAT registered traders who trade zero-rate goods, services, or both to a VAT registered trader in another Member State, requiring the submission of a VIES statement  regardless of the value of the goods or services |

# 2. General overview

This section provides an initial introduction into the local e-Invoicing environment within Ireland, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

| Item | Commentary |
|---|---|
| **Authorities and other agencies relevant for e-invoicing** | • Office of the Revenue Commissioners<br>• The Irish Office of Government Procurement (OGP) |
| **Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention** | • Statutory Instrument 504 as of 2002<br>• Statutory Instrument 354 as of 2013<br>• Statutory Instrument 458 of 2012<br>• Statutory Instrument 258 of 2019<br>• VAT Consolidation Act 2010<br>• Electronic Storage Revenue Guidance |

# 3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

| Item | Commentary |
|---|---|
| **E-invoice status** | • Allowed |
| **Varying invoicing regimes**[1] | • No, the same for both B2B and B2G |
| **e-Invoicing model** | • Post-audit |
| **e-Invoice definition**[2] | • An invoice that has been issued, transmitted, and received in a structured electronic format which allows for its automatic and electronic processing. |
| **Scope of taxpayers the e-document mandate applies to** | • **B2G:** Voluntary for Suppliers to issue electronic invoices. Central contracting authorities are required to have the ability to receive electronic invoices<br>• **B2B:** Buyer consent is required |
| **Mandatory AoR (document response) process** | • No explicit requirements. |
| **Implementation / roll-out plan** | • Implemented: Since **April 2019** - Obligation of the contracting entity to able to receive and process electronic invoices |

[1] It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others
[2] Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law

# 4. Before switching to e-invoices

## 4.1. IT[3] registration

The following thresholds apply to the requirement to be registered for a IT number in Ireland:

- Exemption for small businesses – EUR 37.500 / 75.000
- Application of the special scheme for acquisitions by taxable persons not entitled to deduct input tax and by non-taxable legal persons – EUR 41.000
- Application of the special scheme for distance selling – EUR 10.000

Please note that the thresholds stated above are not an exhaustive list of circumstances requiring local IT registration.

**Ireland** IT number format: IE 1234567 A

## 4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

| Item | Commentary |
| --- | --- |
| **Actions towards authorities, required in order to enable electronic processing instead of conventional processing** | • No explicit requirements |
| **Actions between the trading partners, e.g. customer acceptance, agreement, etc.** | • Required<br>• Buyer's consent is needed. Can be tacit (e.g.by processing or payment of the invoice). |
| **Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed** | • No explicit requirements |

[3] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

## 4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

| Item | Commentary |
|---|---|
| **Whether outsourcing of invoice issuance (creation) is allowed or not** | • Allowed |
| **Whether statement of outsourced issuance is required on the invoice** | • No explicit requirement |
| **Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf** | • No explicit requirement. However, Pagero strongly recommends it. |
| **Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party** | • No explicit requirement |
| **Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance** | • No explicit requirement |
| **Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer** | • To be a Peppol access point, if sending invoices through the network. |

## 4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Ireland has no explicit requirements on the outsourcing of the function of receiving invoices (similar to the function to issue invoices as outlined above).

# 5. Document processing

## 5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

| Item | B2G | B2B |
|---|---|---|
| **Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties** | • N.A. | • N.A. |
| **Other document format(s) commonly used for exchange between trading parties** | • PEPPOL BIS 3.0<br>• UBL, EDIFACT<br>• PDF, TIFF | • Paper & PDF (Common) |
| **Mandated platform(s) required to have connection with for e-document processing** | • N.A. | • N.A. |
| **Other platform(s) relevant for e-document processing** | • N.A. | • N.A. |
| **Schematron(s), XSD schema or other official mechanisms ensuring document content** | • N.A. | • N.A. |
| **Routing ID's / codes or other identifiers used in the jurisdiction for counter-party** | • Peppol Ireland prefix: 9935 | • N.A. |

| | | |
|---|---|---|
| **identification and document exchange** | | |
| **Other technical aspects** | • N.A. | • N.A. |

## 5.2. Communication with hub

Regulations in Ireland foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

| Communication options | Commentary |
|---|---|
| **Automated** | • N.A. |
| **Manual** | • N.A. |
| **Other options** | • N.A. |

## 5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

### 5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country

**B2G Invoicing**

- Documents can be exchanged between suppliers and public authorities in various formats and via various exchange mechanisms, however, for structured invoices, the Irish government leverages the use of Peppol.

- The use of Peppol: Irish companies issuing electronic invoices to public authorities in the country are encouraged to do so via the Peppol network, which has been adopted as Ireland’s preferred means of document exchange (largely e-invoicing) in the public sector.

**B2B Invoicing**

- Documents can be exchanged between suppliers and customers in various formats and via various exchange mechanisms and other business-related preferences.

- The key requirements are to ensure that the document content, document integrity and authenticity, as well as archiving requirements, fulfil Irish law and those requirements of respective trading partners.

- Neither the document format nor the exchange mechanism is regulated.

### 5.3.2. Cross-Border

This section describes the requirements for cross-border outbound documents such as sales invoices

Cross-border transactions in Ireland aren’t strictly regulated when outbound; however, taxpayers must confirm the status of their customer (business or private customer) when supplying services abroad. If taxpayers incorrectly identify their customer and do not charge VAT, they will be liable to pay the VAT. Taxpayers may also incur interest and penalties in the event of a Revenue audit.

## 5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

### 5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country

This process is not explicitly regulated in Ireland.

### 5.4.2. Cross-Border

This section describes the requirements for cross-border inbound documents such as purchase invoices

This process is not explicitly regulated in Ireland.

## 5.5. AoR (response) process

This process is not explicitly regulated in Ireland.

## 5.6. Hub validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before, shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

In Ireland there is no mandatory infrastructure conducting validations. However, for invoices sent via Peppol there will be invoice validations carried out from the certified Peppol Access Point to ensure the invoice contains the necessary information required.

## 5.7. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

There are no explicit requirements in this regard.

Issuing a PDF Presentation (a human-readable duplicate) when Tax invoices are issued in machine-readable format files can be confusing. To ensure the correct management of original documents, in addition to technical controls, Pagero Online adds “Copy Tax Invoice” on PDF Presentations where Tax invoices have been issued as machine-readable format files.

## 5.8. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

| Item | Commentary |
|---|---|
| **Push communication** | • No explicit regulations |
| **Pull communication** | • No explicit regulations |
| **E-mail distribution** | • No explicit regulations |
| **Webportal**[4] | • No explicit regulations |
| **Scanning inbound invoices** | • No explicit regulations |
| **Scanning outbound invoicing** | • No explicit regulations |

## 5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

A credit or debit note must be issued, and thereafter and in specific cases a new corrected invoice.

| Rectification process | |
|---|---|
| **What are the options to correct an invoice if an incorrect IT rate, exemption or reverse charge is applied on the invoice** | • Credit note |

[4] Note, however, that prior to using and external portal, like Pagero’s Webportal, Suppliers are required to already have an invoice / invoice data in their internal accounting software. Portals are not designed for the purpose of replacing internal accounting but are a mechanism to make invoices available for the Buyer. Recommended only for businesses issuing fewer than 100 invoices annually.

| | |
|---|---|
| **What are the options to correct an invoice if the customer returns the goods** | • Credit note |
| **What are the options to correct an invoice if the customer paid too much** | • Credit note |
| **What are the options to correct an invoice if the supplier agrees to a discount after the invoice was issued to the customer** | • Credit note<br>• In case the customer paid too much erroneously, the overpayment must be paid back to the customer and no invoice correction is necessary. Otherwise, the supplier must correct the invoice with a credit note and a new invoice or with a corrective document. |
| **What are the options to correct an invoice if the invoice misses data such as name, address, IT number, invoice reference, etc.** | • Credit note |
| **Other scenarios with different correction option** | • N.A. |
| **Party entitled to issue a credit note if the invoice was issued by the supplier (i.e. no self-billing)** | • Supplier |
| **Allowed to draft a 'waiting' document/interim document' in the absence of a purchase invoice and report IT as due and deductible on the basis of this document** | • No |

## 5.10. Coexistence of paper and electronic invoices

| Item | Commentary |
|---|---|
| **Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it** | • Allowed, however, only if there exists a prior agreement between the seller and the buyer outlining i.e. which form – paper or electronic – will be considered as the tax document |
| **Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving** | • Not allowed. If a paper invoice is issued, it must be retained in paper form |
| **Whether any conditions apply, and which, to the dematerialisation** | • N.A.<br>• The original paper invoice must be retained as it will be considered as the document valid for tax purposes |
| **Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving** | • Allowed, granted that the means used to create an original electronic document must be able to reproduce said documents in paper or electronic form. |

| | |
|---|---|
| **Whether any conditions apply, and which, to the materialisation** | • However, where business records are generated, recorded, and/or stored in any electronic format, those records must be retained. For any record that is not the original, this should be noted, as only the originals will be considered as the tax valid documents |

## 5.11. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

There are no explicit requirements in Ireland in this regard.

# 6. Document content requirements

## 6.1. Document types

| Item | Commentary |
|---|---|
| **Documents mandatory for issuance by supplier** | • Invoice<br>• Credit note |
| **Documents mandatory for issuance by buyer** | • No explicit requirements |

| Item | Commentary |
|---|---|
| **Self-billing allowed** | • Yes |
| **Simplified invoice allowed** | • Yes, max. amount EUR 100 |

## 6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

### 6.2.1. Document numbering by the taxpayer

| Item | Commentary |
|---|---|
| **A sequential number, based on one or more series, which uniquely identifies the invoice** | • Yes |
| **Different series of sequential numbers allowed (e.g. a separate sequential numbering for intercompany billings, credit notes, etc.)** | • Yes |
| **Allowed to start a new sequential numbering every year** | • Yes |
| **Worldwide numbering on legal entity level allowed provided that gaps can be explained** | • Yes |

| | |
|---|---|
| **Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)** | • Yes |

### 6.2.2. Additional document numbering

This section should outline any additional numbering, e.g. provided in addition by the tax authority or that must be generated by the taxpayer based on specific specifications.

There are no specific requirements in Ireland in this regard.

## 6.3. Indirect tax (IT)[5] rates

This section illustrates the applied IT[6] rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

| **Indirect tax rates** | | |
|---|---|---|
| **23%** | **Standard** | All other taxable goods and services |
| **13,5%** | **Reduced** | • vet fees<br>• building and building services<br>• agricultural contracting services<br>• short-term car hire<br>• cleaning and maintenance services<br>• Food Supplements<br>• Hotel lettings, including guesthouses, caravan parks, camping sites etc.<br>• Short term accommodation<br>• Cinemas, theatres, certain musical performances, museums, art gallery exhibitions<br>• Fairgrounds or amusement park services<br>• Hairdressing services. |
| **9%** | **Reduced** | • Catering and restaurant services (food not soft drinks or alcohol), tourist accommodation, cinemas, theatres, museums, historic houses, open farms, amusement parks, certain printed matter, and hairdressing – applies until 31 August 2023.<br>• Electricity and gas – applies until 31 October 2023. |
| **0%** | **Zero** | • Most food sold in shops – including tea, coffee, milk, bread, butter, cheese, milk, vegetables, meat, etc.<br>    • Not food supplied from a vending machine or in a restaurant or other catering venues. |

[5] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.
[6] Local name: Value-added tax (VAT)

| | | |
|---|---|---|
| | | • Not food supplements such as slimming, protein or sports supplements.<br>• Books, children's clothes and children's shoes.<br>• Oral medicine for humans and animals.<br>• Vegetable seeds and fruit trees, fertilisers, large animal feed.<br>• Disability aids such as wheelchairs, crutches and hearing aids.<br>• All exports.<br>• Newspapers and electronically supplied publications.<br>• Automatic external defibrillators.<br>• Non-oral Hormone Replacement Therapy.<br>• non-oral nicotine replacements. |
| | **Exempt** | • financial, medical or educational services.<br>• live theatrical and musical performances except those where food or drink is served during all or part of the performance.<br>• banking services<br>• insurance services<br>• passenger transport (Bus / Taxi etc)<br>• funeral undertaking<br>• postal services<br>• leasing of immovable property (unless option to tax exercised by landlord). |

## 6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of Republic of Ireland. Please note that other additional content requirements might apply in addition, i.a. of technical character.

| General | |
|---|---|
| **Required to mention the word "invoice"** | • No, but recommended |
| **Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:** | • No |
| **Sequential numbering** | • Yes, see section 6.2 above |
| **Required to mention copy or duplicate in case a copy is issued** | • No |
| **Reference in case of outsourced issuance** | • No |

| Supplier data | |
|---|---|
| **Full legal name of the supplier** | • Yes |
| **Allowed to abbreviate or shorten the legal name of the supplier** | • Yes, provided the full legal name is mentioned as well |

| | |
|---|---|
| **Full address of the supplier in country of establishment** | • Yes |
| **Allowed to mention the PO box address instead of the legal address of the supplier** | • No |
| **IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes** | • Yes, if a registration is available in the country of supply |
| **IT identification number of the supplier in the country of establishment** | • Yes |
| **Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)** | • Yes, but only if the fiscal representative issues invoices on behalf of the taxpayer. |
| **Legal form of the supplier** | • No |
| **Trade register number of the supplier** | • No |
| **Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)** | • No |
| **Place of legal seat of the supplier (Headquarters)** | • No |
| **Other supplier data** | • N.a. |

| **Customer data** | |
|---|---|
| **Full legal name of the customer** | • Yes |
| **Allowed to abbreviate or shorten the legal name of the customer** | • Yes, provided the full legal name is mentioned as well |
| **Address of the customer in country of establishment** | • Yes |
| **Bill-to address when it is different from the registered address of the customer** | • No |
| **Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer** | • No |
| **IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)** | • Yes |
| **IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies** | • No |
| **IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies** | • No |

| | |
|---|---|
| **Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)** | • Yes.<br>• Yes, if the fiscal representative is liable to pay the tax in the other member state |
| **Other customer data** | • No |

| Transaction data | |
|---|---|
| **Date of issue** | • Yes |
| **Date of supply (chargeable event)** | • Only if it differs from the invoice date. |
| **Date of prepayment** | • Only if it differs from the invoice date. |
| **Description of the goods/services** | • Yes |
| **Quantity of the goods supplied or the extent of the services supplied** | • Yes |
| **Purchase order number** | • No |
| **Shipped from location (for the supply of goods)** | • No, but recommended |
| **Shipped to location (for the supply of goods)** | • No, but recommended |
| **Status of the goods (e.g. in bond, in free circulation)** | • No, but recommended |
| **Incoterms** | • No, but recommended |
| **Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)** | • No |

| Financial data | |
|---|---|
| **Taxable base per item (unit price excl. IT)** | • Yes |
| **Total taxable base per IT rate or exemption** | • Yes |
| **IT rate applied** | • Yes |
| **Total IT amount calculated per rate** | • Yes |
| **Total IT amount payable** | • Yes |
| **Discounts/rebates if not included in the unit price** | • Yes |
| **Total gross amount (including IT)** | • No, but recommended |
| **Mandatory to mention the total IT amount due in the national currency** | • Yes |
| **Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country** | • Only the VAT amount is required to be in Euro |
| **Exchange rate (if the invoice is not issued in the local currency)** | • No |

| | |
|---|---|
| **Which exchange rate must be applied in order of priority** | • The latest selling rate recorded by the Central Bank of Ireland or the European Central Bank for the currency in question at the time the tax becomes due if no agreement has been reached with the Revenue Commissioners as to the basis for determining the exchange rate;<br>• If there is an agreement with the Revenue Commissioners for a method to be used in determining the exchange rate, the exchange rate under that method is used |
| **Terms of payment** | • No, but recommended |
| **IBAN and BIC number of supplier** | • No |

| **Specific references for invoices** | |
|---|---|
| **Invoice reference in case of IT exemption or reverse charge** | • Yes |
| **List the required references in case of exemption or reverse charge** | • Customer's VAT number and reference that the "the reverse charge applies" In the case of triangulation, an explicit reference to EU triangulation simplification and an indication that the recipient of the goods is liable for the VAT due |
| **Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - " supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for triangular sales - article 141 VAT Directive - " Transfer of own goods- article 17 VAT Directive"?** | • Yes |
| **Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable** | • Yes |
| **Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions** | • No |
| **Specific other reference required, e.g. in case of barter transaction, prepayments,** | • No |

| | |
|---|---|
| **etc. (not self-billing or special margin schemes)** | |
| **Specific references required in case invoicing is outsourced** | • No |
| **Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment** | • No |
| **Other specific requirements/references to be mentioned on an invoice** | • No other elements are required |

## 6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

| Simplified invoicing | |
|---|---|
| **Possible to issue simplified invoices for certain supplies** | • Yes |
| **Maximum amount for simplified invoices** | • EUR 100,00 |
| **Other supplies for which a simplified invoice can be issued** | • No |
| **Simplified invoices limited to certain type of supplies** | • No |
| **Simplified invoices not allowed for certain transactions** | • No |
| **Minimum content requirements on a simplified invoice** | • The date of issue<br>• The full name, address, and registration number of the supplier<br>• A description of the goods or services supplied<br>• The tax payable or the price exclusive of tax |
| **Invoices subject to the national invoice requirements (not self-bills)** | • Invoices issued by a non-established supplier on which VAT is due by the supplier<br>• Invoices issued by an established supplier that are taxable in another country but where VAT is due by the customer<br>• Invoices issued by an established supplier that are taxable in our country |

| | |
|---|---|
| **(other) Invoices subject to the national invoice requirements (not self-bills)** | • N.a. |

Pagero Online **does not** support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

## 6.6. Rectification document

In the Republic of Ireland, credit notes must be issued as rectification documents. A credit note should include at least the following information:

| Specific references for rectification documents | |
|---|---|
| **Must the word "credit note" be mentioned** | • No, but recommended |
| **Reference to original invoice required on a credit note** | • Invoice number |
| **Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')** | • Yes |
| **Reason for credit required** | • Yes |

| Sequential numbering | |
|---|---|
| **Separate sequential credit note numbering required** | • Yes |
| **Allowed to issue one credit note to correct different invoices** | • No |

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

## 6.7. Optional content

This section outlines briefly whether and how the trading parties can provide additional content in the technical e-document format mandated or otherwise prescribed in the specific jurisdiction.

There are no explicit requirements in Ireland in this regard.

# 7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

| Item | Supplier | Recipient |
|---|---|---|
| **Whether it is mandatory to ensure I&A in the jurisdiction** | • Required | • Required |
| **Which methods for ensuring I&A are provisioned for** | • Any method accepted: EDI, Business Controls and eSignature | • Any method accepted: EDI, Business Controls and eSignature validation |
| **Which requirements apply for I&A methods if ensured by a third-party (outsourcing)** | • Allowed | • Allowed |

## 7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for e-Documents as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

| Item | Commentary |
|---|---|
| **e-Signature technical requirements** | • Advanced electronic signature |
| **Automated e-signing** | • Allowed |
| **Time-stamping of e-signature** | • No explicit requirements |

## 7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

| Item | Commentary |
|---|---|
| **Validation upon receipt** | • No explicit requirements |
| **Time-stamping of validation data** | • No explicit requirements |

# 8. Document retention

This section describes archiving requirements regarding the e-Invoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

| Item | Commentary |
|---|---|
| **Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)** | • Tax invoice with I&A proof as appropriate |
| **Requirements to present stored documents in a specific audit format** | • No requirements for capabilities to transform to audit format |
| **Legibility, i.e. the ability to read stored e-documents by an untrained eye** | • Required |
| **Legibility requirements** | • If the original invoice is in a machine-readable format, the taxable person must offer means to provide human-readability |
| **Retention period for invoices not related to immovable property[7]** | • 6 years |
| **Start point of retention period calculation for invoices not related to immovable property** | • Starting from the latest transaction to which the invoices relate |
| **Retention period for e- invoices related to immovable property** | • 6 years |
| **Start point of retention period calculation for invoices related to immovable property** | • Starting from the latest transaction to which the invoices relate |
| **Retention period for other than regular invoices or invoices related to immovable property (if existing):** | • 6 years |
| **Start point of retention period calculation for other than regular invoices or invoices related to immovable property:** | • For capital goods scheme records; for the lifetime of the capital goods (20 or 10 years) plus an additional six years after disposal. |

[7] Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

| | |
|---|---|
| **Outsourced archiving** | • Allowed |
| **Archiving abroad[8] and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty** | • Allowed, subject to online access |
| **Other requirements in relation to electronic document retention** | • No explicit requirements |

[8] In certain situations, or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.

# 9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

| Document | Commentary |
|---|---|
| **Purchase order** | • No explicit requirements |
| **Rectification document** | • Yes, see section 6.6 above |
| **Payment instruction** | • No explicit requirements |
| **SAF-T (or alike) reporting** | • No explicit requirements |
| **Transportation documents** | • No explicit requirements |
| **Other** | • No explicit requirements |

# 10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

## 10.1 Customer Identification for Cross-Border Transactions

Identification of a business customer

When taxpayers supply services to a business customer in another European Union (EU) Member State they must:

- obtain the business customer's Value-Added Tax (VAT) number and confirm its validity
- insert the customer's VAT number on the invoice and retain records of the transaction
- issue an invoice indicating reverse charge will apply
- obtain a letter from the tax authorities if a business customer is a new business and a VAT number is not available
- establish if the supply is exempt in the other Member State for the purposes of VAT Information Exchange System (VIES)
- include the supply on the VIES return if it is taxable.
    - A VIES statement will be required to show details of the services supplied and the correct VAT number of the new business.

It is possible to verify an EU VAT number at the EU Commission website or by contacting the VIMA office.

Verifying the status of customers

When confirming the status of customers, it is assumed that parties have acted in good faith. To do so taxpayers must establish whether the customer is a taxable person.

This should be done by:

- Obtaining their VAT number and confirming its validity; or

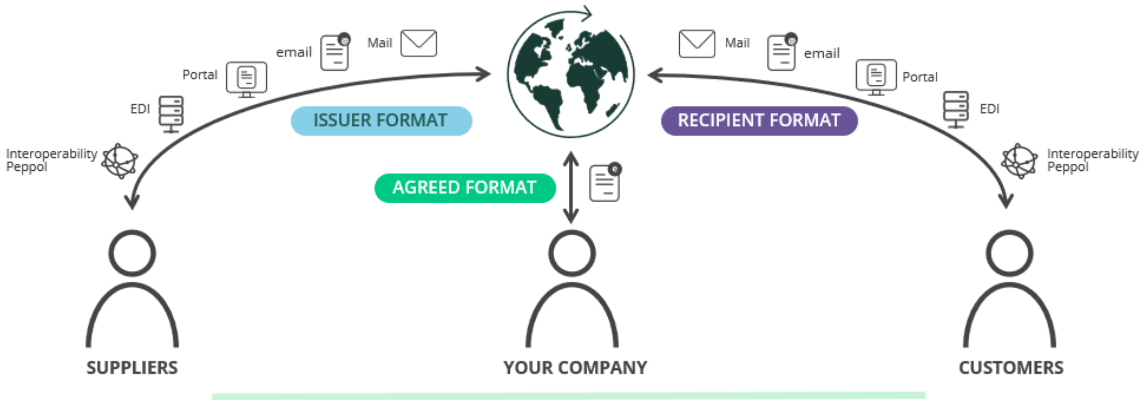
<u>Obtaining other proof which shows that the customer is a taxable person or a non-taxable legal person for VAT purposes.</u>

# 11. Country-specific processing

This section outlines how the Pagero General eInvoicing process has been adapted to the local requirements to ensure compliant local processing.

## 11.1. Document issuance (AR) with Pagero

**B2B invoicing:**




(1) PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners
(2) PAGERO ensures the country-specific document content, document integrity and authenticity, as well as archiving requirements
(3) PAGERO supports unlimited number of document formats and multiple exchange mechanisms
(4) PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, capturing / scanning, etc.

**B2G invoicing:**


1) Supplier provides data in supplier preferred format to PAGERO
2) PAGERO performs i.e., content validation, content enrichment and conversion, document format conversion, applies e-signatures, etc.
3) PAGERO returns the finalized e-invoice to the supplier
4) PAGERO sends the final e-document to the receiving service provider (RSP) / buyer in a legally predefined format and according to a legally predefined exchange protocol
5) RSP/buyer sends the received e-document to the buyer in buyer format
6) - 8) Return communication from the buyer to the supplier, i.e., receipt acknowledgement, document approval or rejection, which could be optional or mandatory

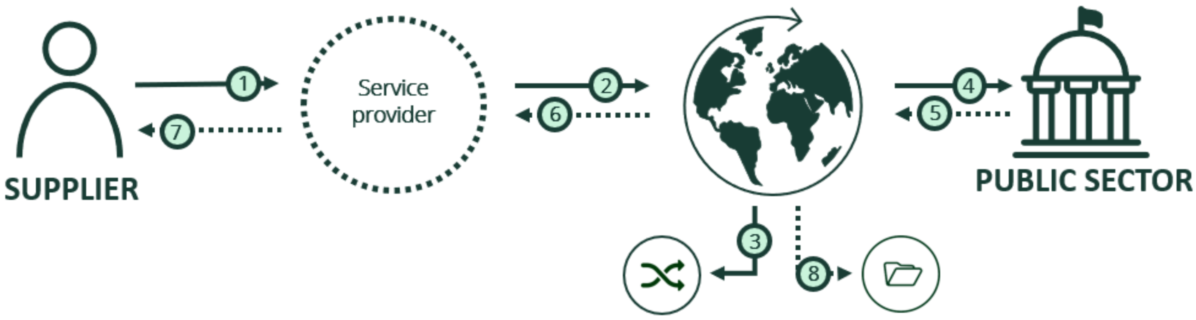
9) PAGERO archives all relevant document on behalf of the supplier

## 11.2. Document reception (AP) with Pagero

**B2B invoicing**

Similar to the issuance process as B2B follows the post-audit model in Ireland. See the chart in section 11.1 above.

**B2G invoicing**




1) Supplier provides data in supplier preferred format to the sending service provider (SSP)
2) SSP/supplier sends the final e-document to PAGERO in a legally predefined format and according to a legally predefined exchange protocol
3) PAGERO performs i.e., content validation, content enrichment and conversion, format conversion, applies e-signature validations, etc.
4) PAGERO sends the received e-document to the buyer in buyer format
5) - 7) Return communication from the buyer to the supplier, i.e., receipt acknowledgement, document approval or rejection, which could be optional or mandatory
8) PAGERO archives all relevant document on behalf of the buyer

# 12. Closing statements

## 12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero’s Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero’s prior written consent.

## 12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero’s Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.

# Revision history

| Date | What has changed |
|---|---|
| **24 July 2018** | Document created |
| **18 October 2021** | • Section 6: updated information on document content requirements<br>• Section 8: updated information on document retention |
| **13 September 2022** | • General review and content update |
| **01 March 2023** | • Updated section 6.3. |